

Morning Briefing — Tuesday, 2 June 2026

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2. IMPORTANT NEWS

SoftBank pledges up to €75bn in French AI data centers — Europe's largest AI infrastructure commitment

[Bloomberg](#) / [CNBC](#) / [DataCenter Dynamics](#) — 31 May 2026

Initial phase: 3.1 GW capacity in Hauts-de-France by 2031, first tranche €45bn. Announced at "Choose France" summit. Bullish for European AI infrastructure, French utilities, and data-center supply chain (Schneider Electric, energy contractors).

ECB board member Schnabel: June 10-11 rate hike needed regardless of Iran peace talks

[Bloomberg](#) / [Reuters](#) / [Irish Times](#) — 26 May 2026

Schnabel says energy shock is "too large and persistent" to look through; expects inflation toward 4% by year-end. Market now fully pricing two hikes. Compresses issuance window ahead of ECB meeting; headwind for rate-sensitive sectors and European banks (funding cost).

EasyJet board calls Castlake's £3bn takeover approach "highly opportunistic"; EZJ surged over 11% on the news

[Aviation Week](#) / [Skift](#) / [Aviation Business News](#) — 1 June 2026

Castlake holds 2.14% stake; must announce firm bid or walk away by 26 June under UK Takeover Code. Aviation M&A theme active amid sector pressure from Iran-driven fuel costs. Binary event for EZJ in next 25 days.

Nvidia launches AI PC CPU at Taiwan event; stock +4%, Dell +8%, Microsoft +2%

[Motley Fool](#) / [Yahoo Finance](#) / [The Market Periodical](#) — 1 June 2026

New chip targets AI workloads in consumer PCs; chips initially shipping in Microsoft hardware. AI hardware cycle accelerating into H2; upstream beneficiaries include TSMC, ASML, and European semiconductor equipment names.

US-Iran Strait of Hormuz conflict ongoing; no long-term framework; Brent holds near \$95/bbl

[investingLive](#) / [CNBC](#) / [Wikipedia \(2026 Strait of Hormuz crisis\)](#) — ongoing

IEA calls this the "largest supply disruption in history of global oil market." Weekend saw US airstrikes; Iran IRGC claims retaliation. No peace deal in sight. Sustained energy cost pressure on airlines, shipping, chemicals, and consumers.

3. EUROPEAN FUTURES — PRE-OPEN

Data approx. 07:00 BST. Sources: investingLive, Eurex.

INDEX	FUTURES LEVEL	EXPECTED MOVE	NOTE
Euro Stoxx 50	~6,047	-0.3%	Softer start; geopolitical overhang
DAX	n/a	n/a	Direction: lower in sympathy
CAC 40	n/a	n/a	SoftBank AI announcement may support
FTSE 100	n/a	n/a	Oil exposures (BP, Shell) a mixed factor
S&P 500 Futures	n/a	n/a	Context only
Nasdaq 100 Futures	n/a	n/a	AI momentum carry-over positive

4. YESTERDAY'S CLOSES — 1 JUNE 2026

Source: investingLive, Trading Economics, Bloomberg. Close ~17:30 BST.

INDEX	CLOSE	CHANGE	% CHANGE
Euro Stoxx 50	6,065	+18	+0.30%
STOXX Europe 600	626.5	+1.3	+0.21%
DAX	n/a	n/a	n/a
CAC 40	n/a	n/a	n/a
FTSE 100	n/a	n/a	n/a

Notable movers: Schneider Electric +2.6%, SAP +2.0% (tech sector; AI tailwinds). Airbus -1.3%, Safran -1.4% (Iran geopolitical risk to aviation). Unilever -1.0%, Intesa Sanpaolo -0.8%.

5. US MARKETS — 1 JUNE 2026 SESSION

Source: TheStreet, Yahoo Finance, CNBC. Close 21:00 BST.

INDEX	CLOSE	CHANGE (PTS)	% CHANGE	NOTE
S&P 500	7,599.96	+19.7	+0.26%	New all-time high
Dow Jones	51,078.88	+46.4	+0.09%	New all-time high; laggard
Nasdaq Composite	27,086.81	+113.5	+0.42%	New all-time high; tech led

Session tone: All three indices closed at record highs. AI momentum dominated: Nvidia +4% on new AI PC chip launch; Dell +8%, Microsoft +2% as downstream beneficiaries. Technology and energy sectors led; consumer discretionary lagged on higher oil prices.

Key tension: Brent oil spike (+1.5%+) from Iran/Hormuz developments pressured transport and consumer names but was overpowered by AI enthusiasm. Breadth was narrower than the headline suggests.

Takeaway: Record close driven by concentrated AI/tech leadership. Any reversal in Nvidia or AI sentiment would expose the breadth gap. Watch Dow as the tell — its underperformance vs. S&P signals the divergence between old-economy cyclicals and mega-cap tech.

6. ASIAN MARKETS — OVERNIGHT SESSION (2 JUNE 2026)

Source: CNBC Asia, Trading Economics. Session close ~01:30–08:30 BST.

INDEX	LEVEL	% CHANGE	DRIVER
Nikkei 225	<i>n/a</i>	−1.32%	Iran uncertainty; yen strength; exporters pressured
Topix	<i>n/a</i>	−1.14%	Broad Japan equity weakness
Hang Seng Index	<i>n/a</i>	+0.13%	Modest outperformer; China tech support
Shanghai Composite	4,057.74	−0.27%	Geopolitical caution; mixed domestic signals
Kospi	<i>n/a</i>	−1.92%	Hardest hit; Kosdaq −3.13%; risk-off tech sell-off
ASX 200 (Australia)	<i>n/a</i>	−0.71%	Resources and banks lower

Overall tone: Risk-off. Korea the standout loser — Kosdaq small-cap tech down 3.1%, likely profit-taking after recent AI rally. Japan also notably weaker despite positive US session; yen appreciation weighing on export heavyweights (Toyota, Sony). Hong Kong outperformed marginally. Drivers: renewed uncertainty over US-Iran peace timeline after weekend military exchanges; absence of ceasefire signal.

7. COMMODITIES

Source: Trading Economics, OilPrice.com, Barchart. Data approx. 07:00 BST.

COMMODITY	LEVEL	CHANGE	% CHANGE	NOTE
Brent Crude	\$94.58 / bbl	-\$0.40	-0.42%	Slight pullback; Iran/Hormuz premium intact
WTI Crude	n/a	n/a	n/a	Approximate ~\$92–93/bbl historically
Gold (Spot)	\$4,455.28 / t.oz	-\$86.5	-1.90%	NOTABLE Profit-taking after recent highs; still elevated vs. 2025 avg
Natural Gas (Henry Hub)	n/a	n/a	n/a	Data unavailable this session
Copper	n/a	n/a	n/a	Data unavailable this session

Brent holds near \$95 — the IEA has characterized the Strait of Hormuz disruption as the "largest oil supply disruption in history." Gold's 1.9% drop on June 1 likely reflects safe-haven unwinding on US-Iran optimism, but the move was not confirmed by a genuine peace framework. Any ceasefire signal would sharply deflate both the oil and gold risk premiums.

8. RATES & FX

Source: Trading Economics, FXStreet, Investing.com. Data approx. 07:00 BST.

INSTRUMENT	LEVEL	CHANGE	DIRECTION	NOTE
US 10Y Treasury	4.51%	+6 bps (MoM)	▲ Rising	Extended May gains; sticky inflation expectations
German 10Y Bund	2.98%	Rebounding	▲ Rising	WATCH Back from 2-month lows; ECB hike pre-pricing
EUR/USD	1.1637	+0.05%	▲ Firming	EUR supported by ECB hawkish pivot
GBP/USD	1.3446	-0.42%	▼ Weakening	Sterling under pressure mid-session
DXY (Dollar Index)	~99.2	n/a	→ Stable/firm	Dollar supported by sticky US inflation + geopolitics

EUR/USD firmness at 1.1637 reflects ECB hawkishness (Schnabel) overriding safe-haven dollar demand. German Bund yield at 2.98% — back toward 3% — signals market is pricing the June 10-11 hike. Watch 3.00% as a key psychological level for Bunds; a break above could accelerate pressure on European duration.

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES (1 JUNE 2026)

No confirmed specific deal data sourced for June 1 — verify via IFR Markets or GlobalCapital for individual deal sheets.

PIPELINE / EXPECTED TODAY & THIS WEEK

No confirmed mandated deals sourced for June 2. However, the ECB June 10-11 meeting creates a pre-announcement issuance window: issuers with near-term needs are expected to front-load this week. Euro IG and SSA pipeline likely active. Monitor IFR/GlobalCapital for intraday mandate announcements.

KEY SPREADS

INDEX	LEVEL (BPS)	CHANGE	DIRECTION
iTraxx Main (5Y)	n/a	n/a	n/a
iTraxx Crossover (5Y)	n/a	n/a	n/a
CDX IG (5Y)	n/a	n/a	n/a
Euro Corp IG Avg Spread	n/a	n/a	n/a

Spread data not sourced this session — verify via Bloomberg credit screens or Refinitiv.

COMMENTARY

The primary market window remains broadly open but is narrowing as the ECB June 10-11 hike becomes near-certain. Issuers in industrials, energy, and financials expected to pre-fund this week to avoid execution risk around the meeting. Geopolitical risk premium (Hormuz) has modestly widened IG spreads in recent weeks, but overall investor appetite remains constructive — demonstrated by the strong May issuance pace. SoftBank's €75bn French AI commitment adds positive sentiment for infrastructure-linked credit (utilities, data-center REITs, telecom). High-yield markets remain cautious given rate trajectory; watch energy sector HY names as oil price volatility continues.

10. ECONOMIC CALENDAR — 2 JUNE 2026

Source: Trading Economics, S&P Global PMI, Investing.com. All times London BST.

09:00	Eurozone Manufacturing PMI Final (May) — S&P Global/HCOB	Cons: 51.6	HIGH
Preliminary reading: 51.4. Flash revised to 51.6. Expansion for 4th consecutive month, but new orders stagnating. Input prices at 4-year highs from Iran energy shock. Watch for any downside revision vs. flash.			
09:30	UK Services PMI Final (May) — S&P Global	Cons: n/a	MEDIUM
14:45	US S&P Global Manufacturing PMI Final (May)	Cons: n/a	MEDIUM
15:00	US ISM Manufacturing Index (May) — Institute for Supply Management	Cons: n/a	HIGH
First major US data print of June. Key read on whether US manufacturing is absorbing the oil shock. A sub-50 reading would reinforce Fed caution; above-52 could accelerate rate hike pricing.			
15:00	US Construction Spending (April)	Cons: n/a	LOW
TBC	Several ECB speakers on circuit (watch for June 10-11 meeting pre-positioning)	—	MEDIUM

11. CORPORATE EVENTS & EARNINGS

EasyJet (EZJ LN) — UK Takeover Code clock running: Castlelake must confirm or withdraw bid by **26 June 2026 17:00 BST**. Board may issue further statement today.

No confirmed major earnings releases or AGMs sourced specifically for 2 June 2026. Verify via MarketScreener European calendar and Nasdaq earnings calendar.

12. STOCKS TO WATCH

Skew: Aviation, Shipping, Metals & Mining, Aerospace & Defense, Banks, Energy. Source: CNBC, Skift, Motley Fool, Ad-Hoc News, Trading Economics.

EZJ LN (EasyJet)	AVIATION	Castlelake £3bn takeover interest. Board called it "opportunistic." Shares +11% yesterday. June 26 Takeover Code deadline creates binary 25-day event window. Watch for any formal approach or walk-away signal.	VOLATILE ⚡
SAF FP (Safran)	AEROSPACE	Q1 revenue +23% organic; raised FY guidance. LEAP engine deliveries +63% YoY. Shares near April 2026 highs at €304+. European aerospace bellwether. Strong civil aviation upcycle driver.	UP ↑
SU FP (Schneider)	AI INFRA	+2.6% yesterday. SoftBank €75bn French AI data center build-out is a direct addressable market (power distribution, energy management). Key European AI infrastructure beneficiary.	UP ↑
SAP GY (SAP)	TECH	+2.0% yesterday. European tech sector at 2020-era highs on AI tailwinds. SoftBank AI investment in France reinforces enterprise software demand. Watch for continuation or profit-taking at highs.	UP ↑
AIR FP (Airbus)	AEROSPACE	−1.3% yesterday. Iran conflict creates dual pressure: passenger demand uncertainty and jet fuel cost. Geopolitical risk premium weighing on European aerospace OEMs. Watch for stabilization or further downside.	CAUTION ↓
NVDA US (Nvidia)	AI CHIP	+4% Monday on new AI PC CPU launch (Jensen Huang, Taiwan). Initial shipments in Microsoft hardware. Momentum carry into European session via ASML, BESL, and other upstream names.	UP ↑
ASML NA (ASML)	SEMICON	Indirect beneficiary of Nvidia chip launch and SoftBank AI capex cycle. European semiconductor equipment leader; watch for sympathy move with Nvidia and broader AI momentum.	UP ↑
ISP IM (Intesa)	BANKS	−0.8% yesterday. European banks face higher funding costs from ECB hike cycle. However, NIM expansion partially offsets. Watch reaction to Bund yield move toward 3%.	MIXED ⚡
BP LN / SHEL LN	ENERGY	Brent at \$94.58 — oil majors benefiting from elevated price environment. Hormuz disruption sustaining price floor. FTSE 100 energy heavyweights; watch for profit-taking if any peace signal emerges.	UP ↑ (oil-linked)

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

ECB hawkish pivot accelerating. Schnabel and other board members laying groundwork for a June 10-11 rate hike. Markets fully pricing two hikes over 12 months; 50% probability of a third. Energy shock driving inflation toward 4% by year-end — ECB cannot "look through" at this stage. Short-end EUR rates moving higher; watch 2Y Bund.

Eurozone Manufacturing PMI (May final): 51.6. Fourth consecutive month of expansion. New orders near stagnation; input price pressures at 4-year highs. Manufacturing expanding but fragile — further energy price rises could flip it back below 50.

US rates sticky. US 10Y at 4.51%, extending May's 6 bps rise. ISM Manufacturing today (15:00 BST) is the next key Fed input. US labor market data (non-farm payrolls, Friday June 5) will be the week's defining print.

CORPORATE

SoftBank €75bn France AI commitment. Largest AI infrastructure pledge in European history. 3.1 GW capacity in Hauts-de-France by 2031. Beneficiaries: Schneider Electric (power management), French utilities (EDF), construction, data-center logistics. Announced at President Macron's "Choose France" summit.

EasyJet M&A clock ticking. Castlelake (AuM ~\$36bn) must commit or walk by June 26. Airline sector is structurally stressed by Hormuz-driven fuel costs. A deal at £3bn would represent a significant premium to pre-announcement price. Sector M&A watch: Ryanair, IAG, Wizz Air may draw speculation.

Nvidia AI chip cycle. New AI PC CPU initial shipments in Microsoft devices. AI hardware demand remains strong; Nvidia Q1 FY2027 revenue hit \$81.6bn record. European AI infrastructure companies (ASML, Infineon, BESI) watch.

POLITICAL / GEOPOLITICAL

US-Iran conflict: Strait of Hormuz. Conflict began Feb 28 with US/Israel Operation Epic Fury. Iran closed Strait March 4; oil supply disruption now the largest in IEA recorded history. Weekend: US strikes on Iranian military sites; IRGC retaliation claims. No peace framework. Energy price floor likely sustained.

"Choose France" summit — Macron secures record investment pledges. SoftBank €75bn headline. France positioning as Europe's AI data-center hub, leveraging abundant nuclear energy grid. Geopolitically positive for France; CAC tech/utility names in focus.

UK Takeover Code and EasyJet. Formal M&A regulatory framework creating hard June 26 deadline. Raises question of UK aviation sector strategic value — government likely watching given Heathrow connectivity concerns.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

1. US ISM Manufacturing (May) — 15:00 BST

First major US June data point. Below 50 supports Fed patience; above 52 accelerates rate hike pricing and pressures duration globally. Direct read on manufacturing absorption of oil price shock.

2. ECB rate hike pre-positioning

Schnabel's June 10-11 hike signal fully absorbed but any ECB speaker commentary today could move EUR rates and credit. Short-end Bund yields and EUR/USD key monitors.

3. EasyJet stock — binary M&A event

After 11%+ surge, any formal statement from Castlelake or EasyJet board moves the stock sharply. Whole UK aviation sector in sympathy play.

4. AI infrastructure rally — European carry

Nvidia's Monday gains and SoftBank France deal drive European AI and semiconductor names. ASML, BESI, Schneider Electric, Capgemini in focus. Watch for profit-taking vs. continuation.

5. Oil / Iran geopolitics — intraday signal watch

Brent at \$94.58; any diplomatic signal (ceasefire, Hormuz reopening) would trigger an immediate 5–10% oil sell-off, airline and shipping rally, and energy sector rotation. Low probability today but high market impact.

THIS WEEK'S TOP 5

1. Non-Farm Payrolls — Friday 5 June, 13:30 BST

The definitive US data print of the week. Consensus n/a at time of writing — a hot number sustains USD strength and pressures global bonds; a soft number reopens dovish Fed narrative.

2. ECB meeting countdown — pre-June 10-11 positioning

Window closing for primary issuance this week. Watch sovereign bond auctions (France, Germany) and corporate IG mandates. Bund yield trajectory toward 3% critical.

3. EasyJet / Castlelake timeline

Castlelake has until June 26 under Takeover Code. Any formal approach communicated this week moves the entire UK aviation sector. Ryanair and IAG watch.

4. US-Iran geopolitical developments

Peace talks timeline unclear. Any back-channel signal this week could materially reprice oil, energy, shipping, and global inflation expectations.

5. AI capex cycle earnings and datapoints

Post-Nvidia chip launch; watch analyst upgrades and revisions. SoftBank France deal could trigger European capex allocation announcements from other hyperscalers (Microsoft, Amazon, Google).

THIS MONTH'S TOP 5

1. ECB June 10-11 meeting — rate hike + guidance

Near-certain 25 bps hike. Guidance for second hike timing and terminal rate are the key market variables. Will define EUR/USD trajectory, European IG spreads, and bank stock performance for Q3.

2. EasyJet / Castlelake June 26 deadline

Formal bid or walk-away by June 26. If bid materializes at £3bn, sets M&A premium valuation for European aviation. If Castlelake walks, EZJ reverts to fundamental value (fuel cost overhang).

3. US-Iran conflict — Hormuz resolution

Any ceasefire or Hormuz reopening would be the single largest positive market catalyst of 2026 — oil -10%+, airlines +15%+, shipping cost normalization, inflation repricing globally.

4. Fed June FOMC meeting

Powell navigating inflation (oil-driven), still-resilient labor market, and AI investment boom. On-hold expected but dot plot revision key. Any hint of hike or cut would significantly reprice USD and global risk assets.

5. European AI infrastructure race — June spending cycle

SoftBank €75bn triggers competitive responses. Microsoft, Amazon, Google European AI capex plans likely to be updated. Beneficiaries: European utilities (nuclear), construction, power equipment. Multi-month structural theme.

15. KEY TRENDS TO WATCH

- 1 DAY** US ISM Manufacturing (15:00 BST) — most market-moving release today. EasyJet statement risk — any Castllake formal move or board rejection statement. ECB speaker circuit — any calibration of June hike size. Oil price: watch for any Iran diplomatic signal; Brent above \$95 would add inflation anxiety. Euro Stoxx 50 opening: futures pointing -0.3%; Asian weakness (Kospi -1.92%, Nikkei -1.32%) a headwind but Nvidia/AI momentum could offset.
- 1 WEEK** Non-farm payrolls Friday June 5 — dominant risk event. US and Eurozone PMI data set (manufacturing Mon/Tue, services Wed/Thu). ECB pre-meeting quiet period starts Saturday June 6. European sovereign bond auctions (France, Germany). EasyJet M&A news flow. Possible hyperscaler European AI capex announcements riding SoftBank wave.
- 1 MONTH** ECB June 10-11 hike and forward guidance — terminal rate debate will run all month. Castllake EasyJet June 26 deadline — binary M&A outcome. US-Iran Strait of Hormuz: no timeline, but every week closer to a resolution is a potential oil shock reversal. Fed FOMC (likely June 17-18) — US policy divergence vs. ECB in focus. European IG primary market post-ECB reopening — expect heavy issuance calendar in late June window. AI infrastructure European permitting and grid buildout — Macron France AI hub narrative developing.

Sources used this briefing:

investingLive (European markets wrap, June 1 2026) | Bloomberg (ECB Schnabel June hike, SoftBank France, June 2 2026) | CNBC (Asia-Pacific markets June 2, S&P 500/Nasdaq close June 1, Hormuz crisis) | TheStreet (Stock Market Today June 1, 2026) | Yahoo Finance (Dow/S&P/Nasdaq June 1 close) | Motley Fool (Nvidia chip launch, June 1) | Aviation Week / Skift / Aviation Business News (EasyJet/Castllake, June 1) | Trading Economics (Euro Stoxx 50, commodities, rates) | S&P Global / HCOB PMI releases (Eurozone Manufacturing PMI May 2026) | FXStreet (ECB hawks, EUR/USD) | DataCenter Dynamics / CNBC (SoftBank €75bn France, May 31) | Wikipedia / Britannica (2026 Strait of Hormuz crisis) | Barchart / Investing.com (Brent crude, Gold, rates)

Data collected automatically between 05:15–07:30 UTC on 2 June 2026. Figures marked "n/a" could not be reliably sourced from available data — verify before use. This report is for informational purposes only. Verify all data before making any investment or trading decision.